Download Testbook App

Insurance Regulatory and Development Authority of India (IRDAI) Questions

Latest Insurance Regulatory and Development Authority of India (IRDAI) MCQ Objective Questions



Question 1:

View this Question Online >

IRDAI's regulation on the 'Pradhan Mantri Jeevan Jyoti Bima Yojana' (PMJJBY) requires insurers to offer life insurance cover at an affordable premium. What is the annual premium amount set under this scheme?

1. Rs 466
2. Rs 356
3. Rs 436
4. Rs 416
5. Rs 346

Answer (Detailed Solution Below)

Option 3 : Rs 436

testbook.com

Supercoaching
India's Super Teachers for all govt. exams Under One Roof
FREE Demo Classes Available*
Enroll For Free Now



Insurance Regulatory and Development Authority of India (IRDAI) Question 1 Detailed Solution

The Correct answer is **Rs 436**.

Key Points

- The **Pradhan Mantri Jeevan Jyoti Bima Yojana (PMJJBY)** is a government-backed life insurance scheme in India.
- The scheme was launched by the **Government of India** to provide life insurance cover at an affordable premium.
- Under this scheme, the annual premium amount is set at **Rs 436**.
- The scheme is available to people aged between **18 and 50 years**.
- It provides a life insurance cover of **Rs 2 lakh** in case of the death of the insured, due to any reason.
- The scheme is administered through **both public and private sector insurance companies**.
- The premium amount is auto-debited from the insured's bank account, ensuring ease of payment.
- The policy is renewable every year, ensuring continuous coverage as long as the premium is paid.

Additional Information

- **Pradhan Mantri Suraksha Bima Yojana (PMSBY)**
  - This is another government-backed insurance scheme that provides accidental death and disability coverage.
  - The annual premium for PMSBY is **Rs 12**, making it highly affordable.
  - It is available to people aged between **18 and 70 years**.
  - The scheme offers a cover of **Rs 2 lakh for accidental death and full disability** and **Rs 1 lakh for partial disability**.
- **Atal Pension Yojana (APY)**
  - This scheme is focused on providing a defined pension to the unorganized sector workers.
  - Subscribers receive a guaranteed minimum monthly pension ranging from **Rs 1,000 to Rs 5,000** after they turn 60 years old.
  - The contribution amount varies based on the age of the subscriber at the time of joining.
- **Jan Dhan Yojana**
  - The Pradhan Mantri Jan Dhan Yojana aims to increase financial inclusion by providing bank accounts to the unbanked population.
  - Account holders receive a **RuPay debit card** and are eligible for an accidental insurance cover of **Rs 1 lakh**.
  - The scheme also offers an overdraft facility of up to **Rs 10,000** for account holders

testbook.com

India's #1 Learning Platform
Start Complete Exam Preparation
Trusted by 1,86,00,449+ Students
Daily Live MasterClasses
Practice Question Bank
Mock Tests & Quizzes
Download App

Question 2:

View this Question Online >

IRDAI, under its 'File and Use' guidelines, mandates that insurance products must be filed with the authority before being marketed. What is the minimum period required for IRDAI to review and approve a new insurance product under this guideline?

1. 15 days
2. 30 days
3. 45 days
4. 60 days
5. 120 days

Answer (Detailed Solution Below)

Option 4 : 60 days

Insurance Regulatory and Development Authority of India (IRDAI) Question 2 Detailed Solution

The Correct answer is **60 days**.

Key Points

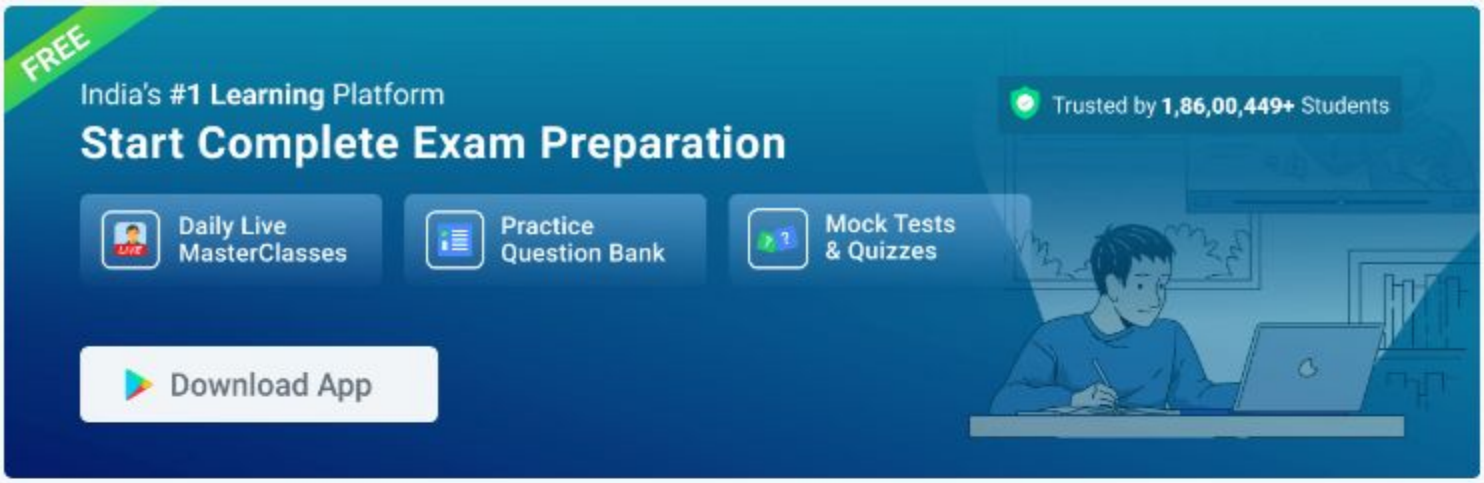
- The **Insurance Regulatory and Development Authority of India (IRDAI)** is responsible for regulating and promoting the insurance and reinsurance industries in India.
- Under its **'File and Use'** guidelines, IRDAI mandates that insurance companies must file their new products with the authority before they can be marketed.
- The minimum period required for IRDAI to review and approve a new insurance product under this guideline is **60 days**.

- This period allows IRDAI to thoroughly evaluate the product to ensure it meets all regulatory requirements and is in the best interest of policyholders.
- The review process includes checking the product for compliance with **regulatory standards**, assessing the **actuarial fairness** of the premiums, and ensuring that the **terms and conditions** are clear and not misleading.
- Once the product is approved, the insurance company can proceed with marketing and selling the product in the market.

Additional Information

- **IRDAI**
  - The **Insurance Regulatory and Development Authority of India (IRDAI)** was established in **1999** by an act of Parliament.
  - It is headquartered in **Hyderabad, Telangana**.
  - IRDAI's mission is to protect the interests of policyholders and ensure the growth of the insurance industry.
- **File and Use Guidelines**
  - The **'File and Use'** guidelines were introduced to streamline the process of launching new insurance products in India.
  - These guidelines ensure that all new insurance products are thoroughly vetted by IRDAI before they are marketed to the public.
  - The guidelines help in maintaining transparency and protecting consumer interests.

Top Insurance Regulatory and Development Authority of India (IRDAI) MCQ Objective Questions



Question 3:

View this Question Online >

IRDAI's regulation on the 'Pradhan Mantri Jeevan Jyoti Bima Yojana' (PMJJBY) requires insurers to offer life insurance cover at an affordable premium. What is the annual premium amount set under this scheme?

1. Rs 466
2. Rs 356
3. Rs 436

4. Rs 416

5. Rs 346

Answer (Detailed Solution Below)

Option 3 : Rs 436

Insurance Regulatory and Development Authority of India (IRDAI) Question 3 Detailed Solution

The Correct answer is **Rs 436**.

Key Points

- The **Pradhan Mantri Jeevan Jyoti Bima Yojana (PMJJBY)** is a government-backed life insurance scheme in India.
- The scheme was launched by the **Government of India** to provide life insurance cover at an affordable premium.
- Under this scheme, the annual premium amount is set at **Rs 436**.
- The scheme is available to people aged between **18 and 50 years**.
- It provides a life insurance cover of **Rs 2 lakh** in case of the death of the insured, due to any reason.
- The scheme is administered through **both public and private sector insurance companies**.
- The premium amount is auto-debited from the insured's bank account, ensuring ease of payment.
- The policy is renewable every year, ensuring continuous coverage as long as the premium is paid.

Additional Information

- **Pradhan Mantri Suraksha Bima Yojana (PMSBY)**
  - This is another government-backed insurance scheme that provides accidental death and disability coverage.
  - The annual premium for PMSBY is **Rs 12**, making it highly affordable.
  - It is available to people aged between **18 and 70 years**.
  - The scheme offers a cover of **Rs 2 lakh for accidental death and full disability** and **Rs 1 lakh for partial disability**.
- **Atal Pension Yojana (APY)**
  - This scheme is focused on providing a defined pension to the unorganized sector workers.
  - Subscribers receive a guaranteed minimum monthly pension ranging from **Rs 1,000 to Rs 5,000** after they turn 60 years old.
  - The contribution amount varies based on the age of the subscriber at the time of joining.
- **Jan Dhan Yojana**
  - The Pradhan Mantri Jan Dhan Yojana aims to increase financial inclusion by providing bank accounts to the unbanked population.
  - Account holders receive a **RuPay debit card** and are eligible for an accidental insurance cover of **Rs 1 lakh**.
  - The scheme also offers an overdraft facility of up to **Rs 10,000** for account holders

FREE
India's #1 Learning Platform
Start Complete Exam Preparation
Trusted by 1,86,00,449+ Students
Daily Live MasterClasses
Practice Question Bank
Mock Tests & Quizzes
Download App



Question 4:

View this Question Online >

Comprehension:

Read the given passage and answer the questions that follow.

The **"X"** is the statutory body responsible for regulating and developing the insurance industry in India. It aims to ensure the growth of the insurance sector while safeguarding the interests of policyholders. Headquartered in Hyderabad, IRDAI plays a vital role in formulating rules and guidelines for insurance companies, intermediaries, and policyholders, fostering transparency and accountability within the industry.

In recent years, IRDAI has introduced transformative measures to improve insurance penetration and streamline the customer experience. Notable among these is the launch of **Bima Sugam**, a unified digital platform that simplifies policy purchases, claim settlements, and customer support. This initiative, launched in December 2024, aligns with India's broader digital transformation goals.

IRDAI's proactive approach is evident in its focus on innovation and inclusion. By promoting regulatory reforms to expand health insurance coverage and introducing digital solutions, the authority ensures that the insurance ecosystem is efficient and customer-centric. These developments not only enhance consumer trust but also align with India's vision of building a robust financial system that supports inclusive economic growth.

Consider the following statements about the MoU signed between FIU-IND and IRDAI:

1. The MoU focuses on the effective implementation of the Prevention of Money Laundering Act (PMLA).

2. Shri Vivek Aggarwal represented IRDAI during the signing of the MoU.

3. The MoU includes provisions for quarterly meetings to discuss AML/CFT trends and compliance issues.

Which of the statements given above are correct?

1. 1 and 2 only

2. 1 and 3 only

3. 2 and 3 only

4. 1, 2, and 3

5. None of the above

Answer (Detailed Solution Below)

Option 2 : 1 and 3 only

Insurance Regulatory and Development Authority of India (IRDAI) Question 4 Detailed Solution

The correct answer is ***1 and 3 only.***

Key Points

- The **Memorandum of Understanding (MoU)** signed between the **Financial Intelligence Unit-India (FIU-IND)** and the **Insurance Regulatory and Development Authority of India (IRDAI)** focuses on ensuring compliance with the **Prevention of Money Laundering Act (PMLA).**
- **Statement 1:** The MoU focuses on the effective implementation of PMLA. This is correct as the MoU is designed to enhance coordination for meeting PMLA requirements. **Hence, statement 1 is correct.**
- **Statement 2:** Shri Vivek Aggarwal represented IRDAI during the signing of the MoU. This is incorrect as Shri Vivek Aggarwal represented FIU-IND, not IRDAI. **Hence, statement 2 is incorrect.**
- **Statement 3:** The MoU includes provisions for quarterly meetings to discuss AML/CFT trends and compliance issues. This is correct, as regular discussions are part of the MoU to ensure better alignment and updates. **Hence, statement 3 is correct.**

Additional Information

- The **FIU-IND** is the central national agency responsible for receiving, processing, analyzing, and disseminating information related to suspicious financial transactions under the **PMLA.**
- The MoU enhances the **coordination and information-sharing mechanisms** between FIU-IND and IRDAI, addressing the vulnerabilities in the insurance sector concerning **Anti-Money Laundering (AML)** and **Combating Financing of Terrorism (CFT).**
- IRDAI ensures that all reporting entities under its regulation comply with the guidelines laid out by the PMLA and its associated rules.
- The MoU also helps in the **identification of red flag indicators** and improves skills related to AML/CFT among the regulated entities in the insurance sector.

FREE
India's #1 Learning Platform
Start Complete Exam Preparation
Trusted by 1,86,00,449+ Students
Daily Live MasterClasses
Practice Question Bank
Mock Tests & Quizzes
Download App

Question 5:

View this Question Online >

Comprehension:

Read the given passage and answer the questions that follow.

The **"X"** is the statutory body responsible for regulating and developing the insurance industry in India. It aims to ensure the growth of the insurance sector while safeguarding the interests of policyholders. Headquartered in Hyderabad, IRDAI plays a vital role in formulating rules and guidelines for insurance companies, intermediaries, and policyholders, fostering transparency and accountability within the industry.

In recent years, IRDAI has introduced transformative measures to improve insurance penetration and streamline the customer experience. Notable among these is the launch of **Bima Sugam**, a unified digital platform that simplifies policy purchases, claim settlements, and customer support. This initiative, launched in December 2024, aligns with India's broader digital transformation goals.

IRDAI's proactive approach is evident in its focus on innovation and inclusion. By promoting regulatory reforms to expand health insurance coverage and introducing digital solutions, the authority ensures that the insurance ecosystem is efficient and customer-centric. These developments not only enhance consumer trust but also align with India's vision of building a robust financial system that supports inclusive economic growth.

Consider the following statements about IRDAI's role and objectives:

1. IRDAI regulates and promotes competition in the insurance industry to ensure customer satisfaction.

2. It aims to increase transparency and accountability in the insurance ecosystem.

3. IRDAI's primary focus is on regulating mutual funds and stock market investments.

Which of the statements given above are correct?

1. 1 and 2 only
2. 2 and 3 only
3. 1 and 3 only
4. 1, 2, and 3
5. None of the above

Answer (Detailed Solution Below)

Option 1 : 1 and 2 only

Insurance Regulatory and Development Authority of India (IRDAI) Question 5 Detailed Solution

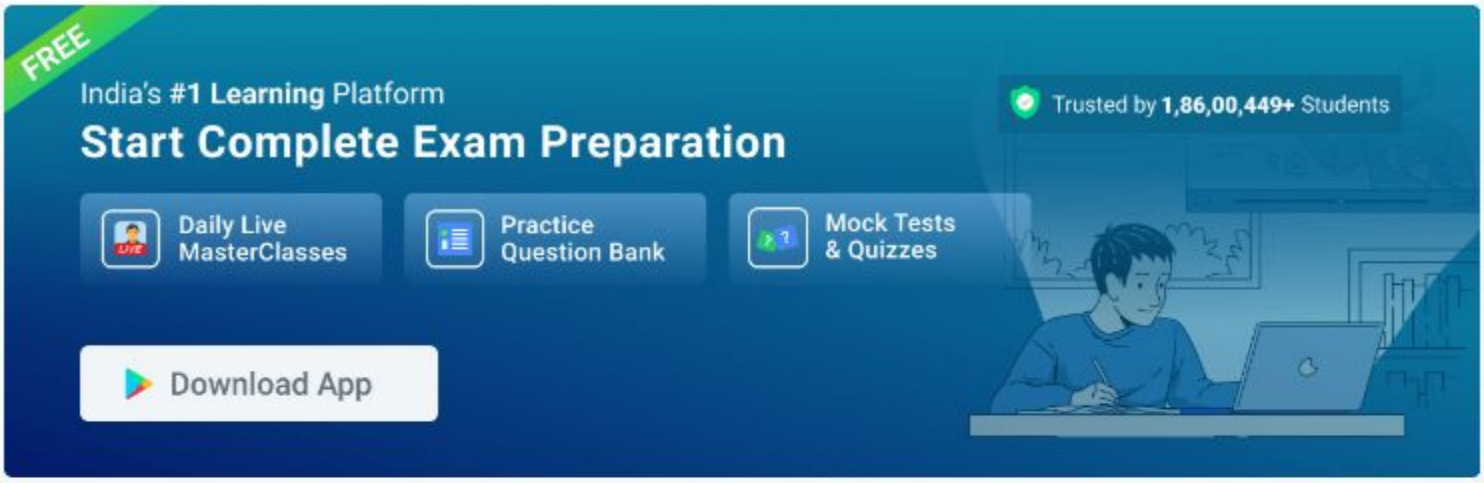
The correct answer is ***1 and 2 only.***

Key Points

- The **Insurance Regulatory and Development Authority of India (IRDAI)** focuses on enhancing transparency and accountability in the insurance sector while promoting competition to ensure customer satisfaction.
- **Statement 1:** IRDAI regulates and promotes competition in the insurance industry to ensure customer satisfaction. This is correct as competition drives innovation and better services. **Hence, statement 1 is correct.**
- **Statement 2:** It aims to increase transparency and accountability in the insurance ecosystem. This is correct as transparency is a key mandate of IRDAI. **Hence, statement 2 is correct.**
- **Statement 3:** IRDAI's primary focus is on regulating mutual funds and stock market investments. This is incorrect as these areas are regulated by **SEBI (Securities and Exchange Board of India). Hence, statement 3 is incorrect.**

Additional Information

- IRDAI launched the **Bima Sugam** platform in December 2024 to simplify policy purchase and enhance customer support, aligning with India's digital transformation goals.
- By 2047, IRDAI targets achieving **8% insurance penetration** of GDP, focusing on expanding insurance coverage in underserved areas.
- Transparency and accountability are enforced through stringent guidelines, regular audits, and digital tools.



Question 6:

View this Question Online >

Comprehension:

Read the given passage and answer the questions that follow.

The **"X"** is the statutory body responsible for regulating and developing the insurance industry in India. It aims to ensure the growth of the insurance sector while safeguarding the interests of policyholders. Headquartered in Hyderabad, IRDAI plays a vital role in formulating rules and guidelines for insurance companies, intermediaries, and policyholders, fostering transparency and accountability within the industry.

In recent years, IRDAI has introduced transformative measures to improve insurance penetration and streamline the customer experience. Notable among these is the launch of **Bima Sugam**, a unified digital platform that simplifies policy purchases, claim settlements, and customer support. This

initiative, launched in December 2024, aligns with India's broader digital transformation goals.

IRDAI's proactive approach is evident in its focus on innovation and inclusion. By promoting regulatory reforms to expand health insurance coverage and introducing digital solutions, the authority ensures that the insurance ecosystem is efficient and customer-centric. These developments not only enhance consumer trust but also align with India's vision of building a robust financial system that supports inclusive economic growth.

What is IRDAI's target for insurance penetration in India by 2047?

1. 6% of GDP
2. 7% of GDP
3. 8% of GDP
4. 9% of GDP
5. 10% of GDP

Answer (Detailed Solution Below)

Option 3 : 8% of GDP

Insurance Regulatory and Development Authority of India (IRDAI) Question 6 Detailed Solution

The correct answer is ***8% of GDP.***

Key Points

- The **Insurance Regulatory and Development Authority of India (IRDAI)** aims to achieve **8% insurance penetration** by 2047, aligning with India's **Vision 2047** strategy.
- This target highlights IRDAI's commitment to expanding insurance accessibility and ensuring its alignment with India's economic growth goals.
- Initiatives like the **Bima Sugam** platform and regulatory reforms will play a significant role in achieving this target.

Additional Information

- **Insurance penetration** refers to the percentage of insurance premiums to a country's GDP, indicating the reach and depth of insurance services.
- India's current insurance penetration is around **4.2% (as of 2022)**, with substantial room for growth, especially in rural areas.
- Strategies to enhance penetration include **innovative products, digital platforms, and increased awareness campaigns.**

FREE
India's #1 Learning Platform
Start Complete Exam Preparation
Trusted by 1,86,00,449+ Students
Daily Live MasterClasses
Practice Question Bank
Mock Tests & Quizzes
Download App



Question 7:

View this Question Online >

Comprehension:

Read the given passage and answer the questions that follow.

The **"X"** is the statutory body responsible for regulating and developing the insurance industry in India. It aims to ensure the growth of the insurance sector while safeguarding the interests of policyholders. Headquartered in Hyderabad, IRDAI plays a vital role in formulating rules and guidelines for insurance companies, intermediaries, and policyholders, fostering transparency and accountability within the industry.

In recent years, IRDAI has introduced transformative measures to improve insurance penetration and streamline the customer experience. Notable among these is the launch of **Bima Sugam**, a unified digital platform that simplifies policy purchases, claim settlements, and customer support. This initiative, launched in December 2024, aligns with India's broader digital transformation goals.

IRDAI's proactive approach is evident in its focus on innovation and inclusion. By promoting regulatory reforms to expand health insurance coverage and introducing digital solutions, the authority ensures that the insurance ecosystem is efficient and customer-centric. These developments not only enhance consumer trust but also align with India's vision of building a robust financial system that supports inclusive economic growth.

When was the "X" established?

1. 1998
2. 1999
3. 2000
4. 2001
5. 2005

Answer (Detailed Solution Below)

Option 2 : 1999

Insurance Regulatory and Development Authority of India (IRDAI) Question 7 Detailed Solution

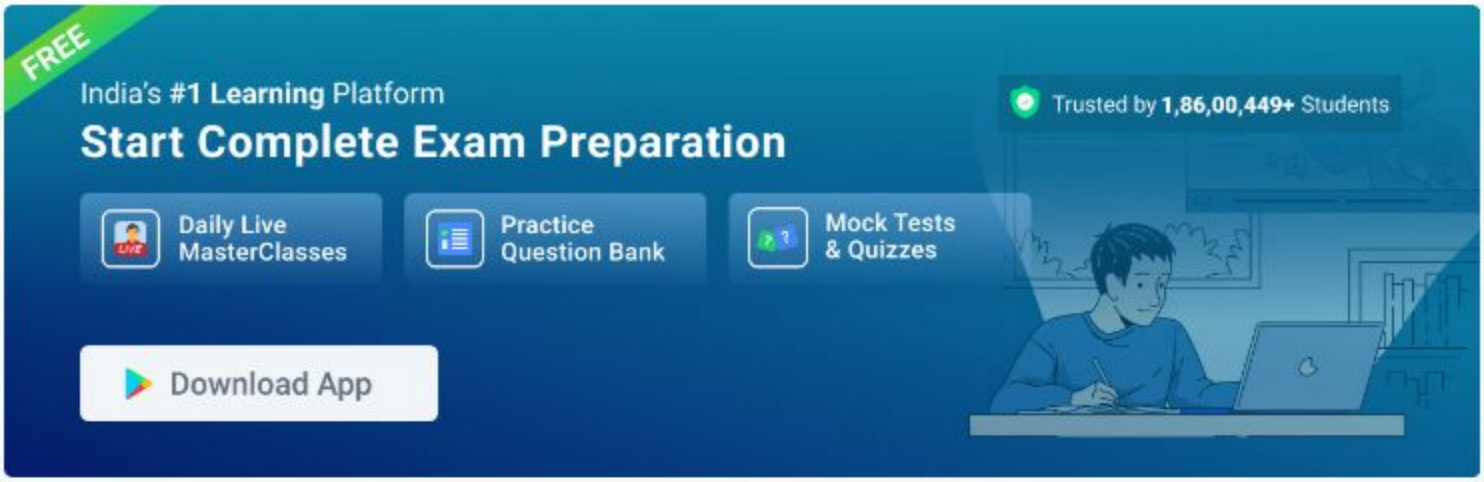
The correct answer is ***1999.***

Key Points

- The **Insurance Regulatory and Development Authority of India (IRDAI)** was established in **1999** under the **IRDA Act.**
- Its primary role is to regulate and develop the insurance industry in India while ensuring policyholder protection.
- IRDAI operates as a statutory body headquartered in **Hyderabad, India.**

Additional Information

- The **IRDA Act of 1999** replaced the **Insurance Act of 1938**, marking a significant shift in India's insurance regulation framework.
- IRDAI oversees activities such as licensing insurers, monitoring solvency margins, and ensuring transparency in the insurance market.
- Its establishment coincided with the liberalization of India's insurance sector, allowing private players and foreign investments.



Question 8:

View this Question Online >

IRDAI, the apex body regulating the insurance sector in India, mandates a certain solvency margin for insurance companies to ensure their financial stability. What is the minimum solvency ratio that IRDAI requires insurance companies to maintain?

1. 100%
2. 125%
3. 150%

4. 175%

5. 200%

Answer (Detailed Solution Below)

Option 3 : 150%

Insurance Regulatory and Development Authority of India (IRDAI) Question 8 Detailed Solution

The Correct answer is **150%**.

Key Points

- The **Insurance Regulatory and Development Authority of India (IRDAI)** sets the guidelines for the insurance sector to ensure its robustness and reliability.
- A key requirement is maintaining a minimum **solvency ratio** of **150%** for insurance companies.
- The **solvency ratio** is a measure of an insurer's ability to meet its long-term debt obligations and other financial commitments.
- This ratio is crucial as it helps in assessing the financial stability and health of insurance companies, ensuring they have enough capital to pay out claims.
- By maintaining a minimum solvency ratio of **150%**, IRDAI aims to protect policyholders' interests and maintain trust in the insurance sector.
- Insurance companies must regularly report their solvency margins to IRDAI to comply with regulatory requirements.

Additional Information

- **Insurance Regulatory and Development Authority of India (IRDAI)**
  - The IRDAI is an autonomous, statutory body tasked with regulating and promoting the insurance and reinsurance industries in India.
  - It was constituted by the **Insurance Regulatory and Development Authority Act, 1999**.
  - The primary objective of IRDAI is to protect the interests of policyholders and to ensure

FREE
India's #1 Learning Platform
Start Complete Exam Preparation
Trusted by 1,86,00,449+ Students
Daily Live MasterClasses
Practice Question Bank
Mock Tests & Quizzes
Download App

Question 9:

View this Question Online >

IRDAI, under its 'File and Use' guidelines, mandates that insurance products must be filed with the authority before being marketed. What is the minimum period required for IRDAI to review and approve a new insurance product under this guideline?

1. 15 days
2. 30 days
3. 45 days
4. 60 days
5. 120 days

Answer (Detailed Solution Below)

Option 4 : 60 days

Insurance Regulatory and Development Authority of India (IRDAI) Question 9 Detailed Solution

The Correct answer is **60 days**.

Key Points

- The **Insurance Regulatory and Development Authority of India (IRDAI)** is responsible for regulating and promoting the insurance and reinsurance industries in India.
- Under its **'File and Use'** guidelines, IRDAI mandates that insurance companies must file their new products with the authority before they can be marketed.
- The minimum period required for IRDAI to review and approve a new insurance product under this guideline is **60 days**.
- This period allows IRDAI to thoroughly evaluate the product to ensure it meets all regulatory requirements and is in the best interest of policyholders.
- The review process includes checking the product for compliance with **regulatory standards**, assessing the **actuarial fairness** of the premiums, and ensuring that the **terms and conditions** are clear and not misleading.
- Once the product is approved, the insurance company can proceed with marketing and selling the product in the market.

Additional Information

- **IRDAI**
  - The **Insurance Regulatory and Development Authority of India (IRDAI)** was

established in **1999** by an act of Parliament.
    - It is headquartered in **Hyderabad, Telangana**.
    - IRDAI's mission is to protect the interests of policyholders and ensure the growth of the insurance industry.
- **File and Use Guidelines**
    - The **'File and Use'** guidelines were introduced to streamline the process of launching new insurance products in India.
    - These guidelines ensure that all new insurance products are thoroughly vetted by IRDAI before they are marketed to the public.
    - The guidelines help in maintaining transparency and protecting consumer interests.